Fundamentals of Credit Management — PREVIEW

Course: DCM — Diploma in Credit Management | **Level:** Level I

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

Contents (full paper)

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1. What is credit management?

Credit management is the set of activities a business uses to decide who to lend to (in the form of allowing them to buy now and pay later), how much to lend, and how to make sure that money is collected on time. At this foundational level, the focus is on the basic building blocks: understanding key terms, keeping accurate debtor records, and following a simple, consistent routine for chasing overdue accounts.

Sample of the practice examination (Question One of Five)

> **Note on format.** The full paper includes a complete practice examination laid out the way a real KASNEB DCM paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

DCM LEVEL I — FUNDAMENTALS OF CREDIT MANAGEMENT (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) Define the following terms: (i) debtor, (ii) credit limit, (iii) credit period. *(6 marks)*

(b) Explain THREE reasons why a business would choose to grant credit to its customers. *(9 marks)*

(c) State TWO risks a business takes on when it grants credit. *(5 marks)*

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes sources of credit information, setting a credit limit, the sales ledger and basic debtor records, simple debtor control ratios, a basic overdue-account follow-up routine, the credit controller's day-to-day duties, ethics in credit management, a fully worked average-collection-period question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.